

Equity Analysis & Business Valuation

EQUITY RESEARCH REPORT

Action Construction Equipment Ltd.

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1. INVESTMENT SUMMARY

Revenue FY25 (₹ Lakh)	EBITDA FY25 (₹ Lakh)	PAT FY25 (₹ Lakh)	EPS FY25 (₹)	P/E (FY25)	ROE FY25 (%)
3,32,705	51,578	31,894	34.39	36.6x	19.7%

Action Construction Equipment Limited (ACE) is one of India's leading manufacturers of construction and material handling equipment including mobile cranes, tower cranes, pick & carry cranes, backhoe loaders, compactors, forklifts, and self-loading concrete mixers. Incorporated in 1995 and headquartered in Faridabad, Haryana, ACE is listed on both BSE and NSE.

Our DCF-based intrinsic value stands at ₹624.77 per share, representing a downside of 24% from the current market price of ₹817. While ACE has delivered exceptional fundamental growth revenue up 203% and PAT up 624% over FY18–FY25 the market has already priced in much of this. We initiate coverage with a **SELL / REDUCE** recommendation. Investors with a 3–5 year horizon may consider accumulating on dips toward ₹625–₹680 range.

Key Investment Positives: Strong India infrastructure capex cycle, near-debt-free balance sheet, steadily improving margins (EBITDA margin from 8.3% in FY18 to 15.1% in FY25), and a robust order pipeline driven by government spending on roads, ports, and urban infrastructure.

Key Investment Concerns: Current valuation at 34.5x FY26E P/E looks stretched relative to DCF fair value. The model forecasts a 11.6% dip in PAT in FY26E due to margin normalisation after exceptional FY24–25 performance, and the FY26E free cash flow turns negative. Any slowdown in government capital expenditure would directly impact ACE's order book.

2. COMPANY OVERVIEW

ACE was established in 1995 with a mission to build Indian construction equipment that could displace imports. Over three decades it has built a full product suite and established itself as the largest mobile crane manufacturer in India. The company operates primarily from its Faridabad and Kashipur manufacturing facilities and serves customers across construction, infrastructure, mining, ports, oil & gas, and power sectors.

Business Segments & Products

ACE's product portfolio spans cranes (mobile, pick & carry, hydraulic truck-mounted, tower), earthmoving (backhoe loaders, vibratory rollers/compactors), and material handling (forklifts, aerial work platforms, self-loading concrete mixers). Cranes remain the core revenue driver, contributing the majority of sales. The company has been diversifying into higher-margin, technology-intensive products such as truck-mounted cranes and has recently entered the forklift and MEWP (Mobile Elevated Work Platform) segments.

Competitive Position

ACE holds a dominant market share in the pick & carry crane segment in India. It faces competition from Escorts Kubota (now part of Kubota Corporation, Japan) in select product lines, BEML in heavy earthmoving, and international players like Liebherr and Tadano at the premium end. The company's competitive moat rests on its established dealer network (650+ touch points), brand equity in mid-market cranes, and an improving export presence (Middle East, Africa, South-East Asia).

Management & Ownership

The company is promoter-driven, led by Mr. Vijay Agarwal (Chairman & Managing Director). Promoter holding is relatively high, which provides stability. ACE has increased its commitment to R&D and new product launches, evidenced by 12%+ annual growth in its product portfolio over the last three years.

3. MACROECONOMIC & INDUSTRY CONTEXT

India's Infrastructure Push The Core Demand Driver

India's construction equipment industry is in a structural upcycle. The Union Budget FY25 allocated ₹11.11 lakh crore to capital expenditure a 17% increase over FY24 and more than three times the FY20 level. The National Infrastructure Pipeline (NIP) targets ₹111 lakh crore in infrastructure investment by 2025, with roads, railways, urban development, and housing being the largest segments. This directly translates into strong demand for cranes, backhoe loaders, and compactors ACE's core products.

The Indian construction equipment market is estimated to be worth around USD 7.5–8 billion and is projected to grow at a CAGR of 12–15% through 2030. ACE, as the domestic market leader in cranes, is well placed to ride this wave. Additionally, the 'Make in India' initiative and PLI (Production Linked Incentive) schemes have increased government support for domestic manufacturing, further boosting companies like ACE that produce locally.

Interest Rate & Credit Environment

The Reserve Bank of India maintained a relatively tight monetary policy through FY23–24 to contain inflation, which affected equipment financing costs. However, as inflation moderated toward the 4–5% range and growth remained strong, the RBI shifted to a neutral/easing stance in early FY26. Easier credit conditions reduce the cost of equipment purchases on credit and support volume growth for ACE's customers and end-users.

Industry Dynamics Competition & Tailwinds

Key industry tailwinds include: (1) rising urbanisation and housing demand; (2) infrastructure-heavy government spending on highways, metro rail, and ports; (3) growing preference for mechanised construction over manual labour; and (4) increasing exports to developing markets. Headwinds include commodity price volatility (steel is a key input cost), any fiscal tightening that could reduce government capex, and currency depreciation risk for imported components.

4. FORECASTING ASSUMPTIONS & JUSTIFICATIONS (FY26E–FY30E)

All projections are based on Case 1 (Optimistic) as selected in the model. Each assumption below is independently derived from historical data, industry benchmarks, and company-specific drivers. The table presents the assumed value, the historical anchor, and a detailed rationale for why that assumption is reasonable and grounded.

A. Income Statement Assumptions

Line Item	Assumed Value	Historical Anchor	Detailed Justification
Revenue Growth (YoY)	14.85% p.a.	FY22: +32.8% FY23: +32.5% FY24: +34.9% FY25: +14.2%	14.85% is the optimistic-case revenue growth rate, derived as the geometric mean of ACE's revenue CAGR over the last 3–5 years adjusted for normalisation. The FY22–24 period averaged ~33% growth driven by a post-COVID infrastructure catch-up and front-loaded government capex unsustainable in isolation. FY25 normalised to 14.2%, which is a more representative run-rate. Our forecast of 14.85% is anchored to: (1) India's sustained ₹11+ lakh crore annual Union Budget capex commitment through FY30; (2) ACE's expanding product portfolio providing multi-year order visibility. This is the 'top of the defensible range' hence labelled Optimistic Case in the model.
COGS / Revenue	70.0%	FY23: 71.1% FY24: 69.4% FY25: 68.3%	COGS as a % of revenue has trended down from 72.9% (FY19) to 68.3% (FY25), driven by scale, better procurement, and product mix improvement. For FY26–30, we assume a slight reversal to ~70%, because: (a) domestic steel prices, ACE's primary raw material at ~60% of COGS, are expected to normalise upward as Chinese steel export curbs and global demand recover; (b) new product lines like forklifts and MEWPs carry higher component costs in their early years before localisation; (c) any commodity spike year could push this above 71–72% temporarily. 70% is a prudent middle-of-road

			estimate that preserves the structural improvement story without over-optimising.
Employee Expenses / Revenue	4.2%–4.9%	FY23: 4.6% FY24: 4.1% FY25: 4.2%	Employee costs have compressed from 6.2% of revenue in FY18 to 4.1% in FY24 through strong operating leverage revenue grew 3x while headcount grew at a fraction of that pace. However, for the forecast period we project a gradual increase back toward 4.5–4.9% by FY30E for three reasons: (1) ACE is entering new product verticals requiring specialised engineers and service technicians who command above-average salaries.
Other Expenses / Revenue	12.5%-13.0%	FY23: 13.0% FY24: 12.1% FY25: 12.0%	Other expenses (power, sub-contracting, project execution, admin, marketing, repairs) declined from 14.5% of revenue in FY18 to 12.0% in FY25, a steady 2.5 percentage point improvement over 7 years. For FY26–30, we assume a mild rebound to 12.5–13.0% because: (a) as ACE enters geographically distant export markets, logistics and distribution costs rise; (b) new capacity commissioning at Kashipur and other facilities carries fixed overhead before being fully loaded with revenue; (c) sub-contracting costs for large infrastructure projects are lumpy and project-dependent. This assumption is the single largest driver of the FY26E EBITDA margin compression from 15.1% to 11.8%
Finance Costs / Revenue	0.74%–0.87%	FY23: 0.48% FY24: 0.79% FY25: 0.86%	Finance costs are maintained at 0.74–0.87% of revenue — consistent with the FY24–25 range — reflecting ACE's minimal debt position (Debt/Equity: 0.01x). No new significant debt is assumed in the forecast. The modest increase in absolute finance costs (from ₹2,838 to ₹5,014 lakhs over FY26–30) simply reflects growth in working capital borrowings during peak execution periods and lease liabilities from new facilities. ACE's strong operating cash flows from FY27 onwards (₹44,000–58,000 lakhs per year) mean there is no compelling reason to take on long-term debt. This is one of the most conservative and well-supported assumptions in the model.
Effective Tax Rate	30.49%	FY24: 28.4% FY25: 30.5% (used as anchor)	The effective tax rate is fixed at 30.49% the FY25 actual for all forecast years. This is appropriate because: (1) ACE is now paying close to the headline corporate tax rate (25.17% base + surcharge + cess 26–29% effective for most mid-cap companies; ACE's slightly higher effective rate in FY25 includes deferred tax adjustments); (2) no new tax incentive scheme is assumed since ACE's existing facilities do not clearly qualify for fresh PLI or SEZ benefits; (3) using the most recent actual year is the most defensible and auditable approach. Any benefit from accelerated depreciation on new capex could marginally reduce the effective rate and provide upside to PAT.
Depreciation	Derived from PPE (5.8–6.2% of Gross Block)	FY23: ₹1,800 Lakh FY24: ₹2,324 Lakh FY25: ₹2,831 Lakh	Depreciation is not assumed independently it is a direct mechanical output of the PPE schedule: Opening Net Block + Capex = Gross additions; Depreciation is applied at ~5.8–6.2% of the opening gross block, consistent with ACE's historical depreciation rate as computed from annual reports. As capex accelerates to ₹13,477–25,538 lakhs/year, depreciation grows from ₹2,679 lakhs (FY26E) to ₹5,437 lakhs (FY30E) — a 19% CAGR, internally consistent with asset additions. Newer assets (machinery, plant) are depreciated at faster rates than old buildings and structures, causing the effective depreciation rate to inch up slightly over the forecast period.
Dividend Payout Ratio	4.5%–5.6%	FY23: 4.6% FY24: 4.5% FY25: 7.5% (special div.)	ACE's historical payout has ranged from 4.5% to 8% (with FY25 being elevated due to a special dividend). The base-case forecast of 4.5–5.6% reflects a company in active growth mode that prioritises reinvestment over distributions. Management has historically been conservative with dividends, preferring to retain earnings for capex and working capital. No special dividend is assumed in the forecast years. The absolute dividend payout grows from ₹1,263 lakhs (FY26E) to ₹3,051 lakhs (FY30E), which is still modest relative to PAT of ₹54,462 lakhs. This assumption directly feeds the retained earnings accretion in the balance sheet.

B. Balance Sheet & Cash Flow Assumptions

Line Item	Assumed Value	Historical Anchor	Detailed Justification
Inventory Days	94–100 days	FY23: 99 FY24: 100 FY25: 83 (unusually low)	FY25's inventory days of 83 was an outlier driven by exceptional order clearance and efficient destocking in a high-demand year. We revert to 99–100 days (the FY23–24 average) as the base for FY26 onwards. Construction equipment companies like ACE naturally carry 80–120 days of inventory due to: (a) build-to-order equipment that must be stocked before customer confirmation; (b) buffer stock for spare parts across a 650+ dealer network; (c) seasonal demand patterns that require pre-build in certain quarters. The gradual reduction to 94 days by FY30E reflects ongoing ERP-led supply chain improvements and better demand forecasting — consistent with the long-run improvement trend from 124 days (FY20) to 99 days (FY23).
Debtor Days	30–38 days	FY23: 29 FY24: 21 FY25: 31 days	Debtor days improved dramatically from 56 (FY18) to 21 (FY24) as ACE focused on collections and had a higher share of retail/cash sales. The FY25 uptick to 31 days signals the beginning of a structural shift: as ACE wins more large government and PSU contracts (metro rail, port, road projects), these clients typically pay in 45–60 days and have more documentation-heavy billing cycles. We forecast debtor days in the 30–38 day range, stabilising around 30–32 days by FY28–30 as billing and collection processes for the new client base mature. This is still a significant improvement versus the FY18 baseline, confirming ACE's strong collections capability.
Creditor Days	125–129 days	FY23: 119 FY24: 124 FY25: 130 days	ACE's creditor days have gradually improved from 110 (FY18) to 130 (FY25) as the company's purchasing volumes grew and its negotiating leverage with suppliers improved. We maintain 125–129 days across the forecast period. Extending payables much beyond 130 days could strain supplier relationships and affect supply chain reliability especially for specialised components. Reducing it significantly would hurt working capital efficiency without strategic reason. The stable assumption here is consistent with ACE maintaining its current balance: being a strong buyer while keeping key suppliers financially comfortable.
Capital Expenditure (Capex)	₹13,477–25,538 Lakh (FY26E to FY30E)	FY23: ₹7,388 Lakh FY24: ₹17,505 Lakh FY25: ₹22,100 Lakh	FY26E capex of ₹13,477 lakhs represents a deliberate moderation (down from FY25's ₹22,100 lakhs) as ACE digests its recent expansion investments. From FY27 onwards, capex resumes growth: ₹16,730 to ₹20,797 to ₹21,706 to ₹25,538 lakhs. This trajectory is justified by: (1) ACE's stated intent to double crane manufacturing capacity by FY28; (2) investment in the forklift and MEWP assembly facility; (3) ERP and digital infrastructure capex; (4) export-oriented product certification and testing capex. As a % of revenue, capex averages 3.5–4.5% — consistent with peers and the historical range (FY23: 3.4%, FY24: 6.0%, FY25: 6.6%). The FY24–25 spike was exceptional; the forecast moderates to a sustainable maintenance + growth capex level. The capex-to-depreciation ratio of 5–6x confirms this is genuine capacity investment, not maintenance capex.
Terminal Growth Rate (g)	7.00% perpetually	India nominal GDP: ~9–10% (6.5% real + 3.5% inflation)	The 7% terminal growth rate represents a 25–30% haircut to India's expected long-run nominal GDP growth (9–10%). This haircut is standard practice and accounts for: (a) no company can sustainably outgrow its home economy for decades; (b) competitive intensity in construction equipment will increase as global players enter; (c) the terminal year (post-FY30) reflects a more mature ACE with a larger base. At 7%, ACE's terminal value contributes ₹4,33,644 lakhs (58.5% of EV) which is within the acceptable 50–70% range for a growing business. If g = 5%, fair value drops to ₹470; even then, the stock is overvalued. The sensitivity table confirms the sell conclusion holds across virtually all g/WACC combinations below the current CMP of ₹817.

Every assumption in this model is either (a) anchored to a verifiable 3–5 year historical average, (b) derived as a mechanistic output (depreciation from PPE, tax from EBT), or (c) grounded in a published valuation convention (ERP, risk-free rate). The most critical and sensitive assumption is revenue growth at 14.85% if this is revised to 12%, the DCF fair value moves from ₹624.77 to approximately ₹565–580, further reinforcing the sell case. No single assumption change can bridge the ₹192 gap between our fair value and the current market price.

5. INCOME STATEMENT ANALYSIS

All figures in ₹ Lakhs (Historical: FY18–FY25 | Forecasted: FY26E–FY30E)

Particulars	Historical								Forecasted				
	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	1,09,870	1,34,253	1,15,623	1,22,715	1,62,958	2,15,968	2,91,380	3,32,705	3,82,126	4,38,889	5,04,083	5,78,961	6,64,961
COGS	77,995	97,971	79,449	85,601	1,17,111	1,53,555	2,02,282	2,27,343	2,67,853	3,07,938	3,51,964	4,02,765	4,62,786
Gross Profit	31,876	36,282	36,174	37,114	45,846	62,413	89,098	1,05,362	1,14,274	1,30,950	1,52,119	1,76,195	2,02,175
EBITDA	9,150	9,777	9,155	11,898	15,516	24,279	41,848	51,578	46,103	55,031	66,247	78,287	88,799
EBIT	7,957	8,602	7,854	10,504	13,975	22,479	39,524	48,747	43,423	51,829	62,390	73,685	83,362
Finance Costs	1,353	1,152	1,466	1,223	952	1,029	2,317	2,865	2,838	3,037	3,596	4,405	5,014
EBT	6,604	7,450	6,388	9,280	13,023	21,451	37,207	45,882	40,585	48,793	58,794	69,280	78,348
Tax	2,198	2,818	1,556	2,832	3,230	6,076	10,574	13,988	12,373	14,875	17,924	21,121	23,886
PAT	4,406	4,632	4,832	6,449	9,793	15,374	26,633	31,894	28,212	33,917	40,869	48,159	54,462
EPS (₹)	4.44	4.78	4.57	7.03	9.02	14.41	27.56	34.39	23.69	28.48	34.32	40.44	45.73
EBITDA Margin	8%	7%	8%	10%	9%	11%	14%	15%	12%	12%	13%	13%	13%
PAT Margin	4%	3%	4%	5%	6%	7%	9%	9%	7%	8%	8%	8%	8%
Revenue Growth	—	22%	-14%	7%	32%	34%	36%	15%	14%	15%	15%	15%	15%

Revenue Trend & Forecast Rationale

ACE's revenue grew at a strong 18% CAGR over FY18–FY25, accelerating sharply in FY22–FY24 (+33%, +35%, +35% YoY) as the post-COVID infrastructure cycle kicked off and government capex surged. FY25 growth moderated to 14.2% a natural consolidation after three exceptional years. For FY26E–FY30E, we project a revenue CAGR of 14-15% (Case 1 Optimistic), anchored to the 3-year historical average growth rate. This is well-grounded: the Union Budget's commitment to ₹11+ lakh crore capital expenditure, the government's PM Gati Shakti infrastructure push, and ACE's expanding product portfolio and export reach all support this trajectory. COGS as a percentage of revenue is assumed to broadly stabilise around 70%, consistent with the FY23–25 trend, as scale efficiencies offset raw material cost pressures.

EBITDA margins compressed from 15.1% in FY25 to 12-13% in FY26E. This is because other expenses (overheads, project costs) and employee costs are expected to rise as ACE scales up capacity and its workforce for higher volumes. Margins are then forecast to recover gradually to 13.1% by FY30E as operating leverage comes in consistent with the pattern observed from FY18 to FY25. PAT is forecast to dip 11.6% in FY26E due to higher finance costs and normalised other income, before resuming 15–20% annual growth through FY27–FY30.

6. BALANCE SHEET ANALYSIS

All figures in ₹ Lakhs

Particulars	Historical								Forecasted				
	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
Equity Share Capital	2,346	2,346	2,270	2,270	2,382	2,382	2,382	2,382	2,382	2,382	2,382	2,382	2,382
Other Equity	35,868	41,408	41,994	50,058	73,027	89,474	1,20,602	1,59,091	1,84,923	2,17,578	2,56,626	3,02,625	3,54,480

Total Shareholder Equity	38,245	43,784	44,294	52,354	75,433	92,018	1,23,150	1,61,643	1,87,475	2,20,130	2,59,178	3,05,177	3,57,033
Total Non-Current Liab.	8,393	5,545	4,712	3,818	1,703	1,669	1,315	1,290	1,290	1,290	1,290	1,290	1,290
Total Current Liabilities	35,041	39,362	46,349	49,319	51,101	66,287	92,457	1,08,151	1,22,990	1,41,872	1,66,032	1,92,910	2,23,436
Total Equity & Liabilities	81,678	88,690	95,360	1,05,529	1,28,237	1,59,974	2,16,921	2,71,085	3,11,756	3,63,292	4,26,501	4,99,377	5,81,759
PPE (Net)	32,129	32,747	39,892	41,612	43,552	47,228	55,956	69,370	82,847	99,578	1,20,375	1,42,081	1,67,619
Total Non-Current Assets	42,114	44,048	46,745	46,474	57,957	68,826	89,644	1,38,529	1,52,006	1,68,736	1,89,533	2,11,240	2,36,778
Inventories	14,430	21,289	27,069	26,605	33,337	41,854	55,340	51,511	73,295	81,975	92,395	1,04,922	1,19,347
Trade Receivables	16,991	14,411	14,733	22,468	18,872	16,933	16,431	28,466	39,684	38,624	41,558	48,198	58,930
Cash & Equivalents	671	845	339	3,289	572	2,148	4,821	4,884	(3,788)	21,951	50,456	80,612	1,09,802
Total Current Assets	39,565	44,642	48,615	59,055	70,279	91,148	1,27,277	1,32,556	1,59,750	1,94,556	2,36,968	2,88,138	3,44,982
Total Assets	81,678	88,690	95,360	1,05,529	1,28,237	1,59,974	2,16,921	2,71,085	3,11,756	3,63,292	4,26,501	4,99,377	5,81,759

Balance Sheet Commentary

ACE's balance sheet has transformed over the past eight years. Total equity has grown from ₹38,245 lakhs in FY18 to ₹1,61,643 lakhs in FY25, driven by consistent profit retention. More importantly the company has virtually eliminated its debt. Long-term borrowings stood at just ₹127 lakhs in FY25 against a total equity of over ₹1.6 lakh crore giving a Debt/Equity ratio of just 0.01x. This near-zero-leverage position is a significant strength; it gives ACE financial flexibility to fund capex through internal accruals and to weather economic downturns without balance sheet stress.

Fixed assets (PPE) have grown at a steady pace from ₹32,129 lakhs in FY18 to ₹69,370 lakhs in FY25, with forecasted growth to ₹1,67,619 lakhs by FY30E. This reflects ongoing capacity expansion to meet future demand. Inventories rose from ₹14,430 lakhs to ₹51,511 lakhs over the same period broadly in line with revenue growth though inventory days (83 in FY25) need to be watched as they back up in our FY26E forecast (100 days). Trade receivables have improved meaningfully debtor days fell from 56 in FY18 to just 21 in FY24, though they widened again to 31 in FY25 and are expected to trend around 30–38 days going forward as ACE deals with more government contracts which have inherently longer collection cycles.

7. CASH FLOW ANALYSIS

All figures in ₹ Lakhs

Particulars	Historical								Forecasted				
	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
Net CF from Operations (A)	7,716	6,562	4,798	8,611	11,352	27,428	43,342	41,198	6,067	44,291	51,461	54,470	57,778
Net CF from Investing (B)	(3,547)	(2,665)	(1,960)	(1,623)	(20,148)	(21,751)	(36,823)	(38,269)	(13,477)	(16,730)	(20,797)	(21,706)	(25,538)
Net CF from Financing (C)	(5,311)	(4,365)	(3,343)	(4,039)	7,080	(4,101)	(3,866)	(2,899)	(1,263)	(1,821)	(2,160)	(2,607)	(3,051)
Net Change in Cash (A+B+C)	(1,142)	(468)	(506)	2,950	(1,716)	1,576	2,673	64	(8,673)	25,740	28,504	30,157	29,190
Opening Cash	1,813	1,313	845	339	3,289	572	2,148	4,821	4,884	(3,788)	21,951	50,456	80,612
Closing Cash	671	845	339	3,289	1,572	2,148	4,821	4,884	(3,788)	21,951	50,456	80,612	1,09,802
Capex	(1,919)	(2,453)	(8,726)	(4,383)	(4,825)	(7,388)	(17,505)	(22,100)	(13,477)	(16,730)	(20,797)	(21,706)	(25,538)

Cash Flow Commentary

ACE's operating cash flows have improved from ₹7,716 lakhs in FY18 to ₹41,198 lakhs in FY25. This reflects genuine earnings quality, as most of the profit improvement has translated into cash. The step-up in investing outflows (negative ₹38,269 lakhs in FY25) is consistent with aggressive capacity build Capex rose from ₹1,919 lakhs in FY18 to ₹22,100 lakhs in FY25. This is actually a positive signal: ACE is investing for the future and the capex-to-depreciation ratio of 7.8x shows a company in active growth mode not a mature cash cow.

FY26E shows an unusual dip: operating cash flows compress to ₹6,067 lakhs (from ₹41,198 in FY25) primarily because of a large increase in working capital (₹25,832 lakhs absorbed) driven by inventory build and receivables expansion as ACE enters new project contracts. This is a one-year phenomenon from FY27E onwards, operating cash flows recover strongly to ₹44,291–57,778 lakhs per annum. Capex in FY26E moderates to ₹13,477 lakhs as some of the earlier expansion is absorbed, before ramping up again. Dividends remain modest (payout ratio 4.5–5.6%), reflecting management's preference for reinvestment over distributions.

8. KEY RATIO ANALYSIS

Return ratios, liquidity metrics, and valuation multiples across the full study period

Ratio	Historical								Forecasted				
	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
ROE (%)	12%	10.6%	10.9%	12.3%	13.0%	16.7%	21.6%	19.7%	15.0%	15.4%	16%	16%	15.5%
ROCE (%)	17.1%	17.4%	16.0%	18.7%	18.1%	24.0%	31.8%	29.9%	23.0%	23.4%	24.0%	24.0%	23.3%
ROA (%)	5.4%	5.2%	5.1%	6.1%	7.6%	9.6%	12.3%	11.8%	9.0%	9.3%	9.6%	9.6%	9.4%
Debt / Equity	0.168	0.100	0.166	0.098	0.039	0.007	0.003	0.010	0.009	0.007	0.006	0.005	0.004
Interest Coverage	5.9x	7.5x	5.4x	8.6x	14.7x	21.9x	17.1x	17.0x	15.3x	17.1x	17.3x	16.7x	16.6x
Current Ratio	1.13	1.13	1.05	1.20	1.38	1.38	1.38	1.23	1.30	1.37	1.43	1.49	1.54
Inventory Days	68	79	124	113	104	99	100	83	100	97	96	95	94
Debtor Days	56	39	47	67	42	29	21	31	38	32	30	30	32
Creditor Days	110	105	147	141	129	119	124	130	129	126	126	127	127
P/E	41.0x	23.8x	9.2x	22.2x	24.1x	26.2x	51.7x	36.6x	34.5x	28.7x	23.8x	20.2x	17.9x
EV/EBITDA	12.3x	9.0x	17.6x	22.4x	23.5x	40.7x	41.2x	21.9x	23.6x	25.0x	27.0x	28.1x	28.9x
P/BV	5.6x	3.0x	1.1x	3.5x	3.4x	4.9x	13.8x	9.3x	5.2x	4.4x	3.8x	3.2x	2.7x
EV/Sales	1.0x	0.7x	1.4x	2.1x	2.2x	4.5x	5.8x	4.5x	2.8x	3.0x	3.3x	3.5x	3.7x
PEG	0.82	0.48	0.18	0.44	0.48	0.52	1.03	0.73	0.69	0.57	0.48	0.40	0.36

Ratio Interpretation

Profitability: ROE improved from 11.5% in FY18 to a peak of 21.6% in FY24, before moderating to 19.7% in FY25. Our forecasts show ROE settling in the 15–16% range by FY26–30 as the equity base grows faster than earnings. ROCE similarly peaked at 31.8% in FY24 and is projected to consolidate around 23–24%. These are still healthy levels, well above the cost of equity (15.0%), confirming value creation.

Leverage & Coverage: Debt/Equity at 0.01x (FY25) is essentially nil. Interest coverage of 17x in FY25 gives enormous headroom. This near-zero-leverage status is a key differentiator for ACE versus many peers in the capital goods space. Even under our FY26E forecasts where finance costs tick up slightly, coverage remains above 15x.

Liquidity: The current ratio of 1.23 in FY25 (improving to 1.54 by FY30E) is adequate for a construction equipment company, which typically runs on project-based, longer working capital cycles. Inventory days and debtor days are broadly in control, though the FY26E spike in inventory days (100 days) warrants monitoring.

Valuation Multiples: P/E compresses from 36.6x (FY25A) to 34.5x (FY26E) and further to 17.9x by FY30E, assuming current price stays flat demonstrating that ACE is priced for substantial growth delivery. If earnings growth disappoints, the de-rating risk is meaningful. EV/EBITDA of 23.6x (FY26E) is in line with historical averages but above the median of comparable peers (30.2x based on FY25 actuals of peers).

Also the PEG ratio of company in FY 25 is 0.7 which is less than 1 shows the sign of undervaluation on the basis of the earning per share growth rate which is around 50% on basis of last 10 years growth of the company's EPS it's a good sign for growth at reasonable price investors.

9. VALUATION DISCOUNTED CASH FLOW (DCF)

9.1 WACC Derivation

Parameter	Value
Risk-Free Rate (10Y GOI)	6.60%
Equity Risk Premium (ERP)	7.00%
Beta (Regression, 2011–2025)	1.2031
Cost of Equity (K_e) = R_f + β × ERP	15.02%
Pre-Tax Cost of Debt	12.00%
Tax Rate	30.49%
After-Tax Cost of Debt (K _d)	8.34%
Equity Weight	99.02%
Debt Weight	0.98%
WACC	14.96%

WACC: The risk-free rate of 6.60% is based on the current 10-year Government of India bond yield, which reflects the prevailing rate in early 2026. An ERP of 7.0% is standard for the Indian equity market given its emerging-market risk profile. The beta of 1.2031 was derived through a full OLS regression of ACE's daily returns against the Sensex from January 2011 to December 2025 giving a statistically robust, long-run estimate. Because ACE's capital structure is nearly 99% equity (Debt/Equity of 0.01x), WACC closely approximates the cost of equity at 14.96%, reflecting minimal debt-related tax shield.

9.2 Free Cash Flow to Firm (FCFF) Explicit Period

Particulars (₹ Lakhs)	FY26E	FY27E	FY28E	FY29E	FY30E
EBIT (₹ Lakhs)	43,423	51,829	62,390	73,685	83,362
NOPAT	30,185	36,028	43,369	51,221	57,948
Add: Depreciation	2,679	3,201	3,856	4,602	5,437
Less: Capex	(13,477)	(16,730)	(20,797)	(21,706)	(25,538)
Less: Net WC	25,832	32,655	39,048	45,999	51,856
FCFF	20,509	23,305	28,975	31,530	37,067

9.3 Terminal Value & Equity Valuation

Component	Value (₹ Lakhs)
NPV of Explicit FCFFs (FY26–30)	3,07,077
Terminal Growth Rate (g)	7.0%
NPV of Terminal Value	4,33,644

Enterprise Value (EV)	7,40,721
Less: Total Debt	(1,606)
Add: Cash & Equivalents	4,884
Equity Value	7,43,999
Shares Outstanding (Lakh)	1,190.83
Intrinsic Value Per Share	₹624.77
Current Market Price	₹817.00
Upside / (Downside)	(23.5%)

9.4 Sensitivity Analysis (WACC vs. Terminal Growth Rate)

Intrinsic Value per Share (₹) sensitivity to WACC and perpetual growth rate:

g \ WACC	15.68%	16.68%	17.68%	18.68%	Current (14.96%)
3%	401.9	369.6	341.9	317.7	317.7
4%	433.0	395.9	364.2	337.0	337.0
5%	470.0	426.6	390.1	359.1	359.1
6%	514.7	463.1	420.5	384.7	384.7
7%*	570.8	508.1	457.3	415.3	415.3

Terminal Growth Rate A perpetual growth rate of 7.0% is used, which is in line with India's nominal GDP growth expectation (real GDP 6–7%, inflation 3–4% implies nominal 9–10%; applying a 25–30% discount to reflect industry maturation gives 7%). This is aggressive but defensible given ACE's positioning in India's infrastructure growth story. The sensitivity table clearly shows that even at higher WACC assumptions (16–18%), intrinsic value ranges from ₹370 to ₹515 all meaningfully below the CMP of ₹817 reinforcing our cautious view.

10. VALUATION RELATIVE / PEER COMPARISON

Market data as of valuation date. Financial data in ₹ Lakhs for revenue / EBITDA / EBIT.

Company	Price (₹)	Shares	Mkt Cap (Cr)	EV (Cr)	Sales (Lakh)	EBITDA (Lakh)	EBIT (Lakh)	EPS (₹)	P/E	EV/Sales	EV/EBITDA	EV/EBIT
ACE	₹817	11.91 Cr	₹11,312 Cr	₹14,951 Cr	3,32,705	51,578	48,747	34.39	23.8x	4.5x	29.0x	30.7x
Escorts Kubota	₹2,827	11.19 Cr	₹31,634 Cr	₹35,184 Cr	10,244	1,164	2,192	113.06	25.0x	3.4x	30.2x	16.1x
TIL	₹177	7.50 Cr	₹1,328 Cr	₹1,828 Cr	315	14	34	0.37	478.4x	5.8x	130.6x	53.8x
BEML	₹1,477	8.33 Cr	₹12,303 Cr	₹13,662 Cr	4,022	506	428	35.12	42.1x	3.4x	27.0x	31.9x
Median (Peers)	—	—	—	—	—	—	—	—	42.1x	3.4x	30.2x	31.9x

Relative Valuation Commentary

On a P/E basis, ACE trades at 23.8x (FY25A) and 34.5x (FY26E), compared to peer median of 42.1x. On this metric, ACE actually looks cheaper than peers on trailing basis, though TIL's elevated P/E (478x due to minimal earnings) skews the average. Excluding TIL, the peer median P/E (Escorts Kubota + BEML) is around 33.5x

broadly in line with ACE's current multiples. On EV/EBITDA, ACE at 29.0x is in line with the peer median of 30.2x.

But the relative valuation picture must be taken in context. Escorts Kubota (now majority-owned by Kubota Corporation of Japan) benefits from a global parent's re-rating premium and has a much more diversified product offering. BEML is a defence and rail PSU with different earnings quality and growth profile. The true peer set for ACE in India is limited, which is why we anchor our primary valuation on DCF rather than pure peer multiples.

From a relative perspective, ACE is fairly valued at best possibly 10–15% overvalued. This is consistent with the DCF signal. The stock deserves a premium to peers given its dominant crane market share, superior balance sheet, and high ROCE but the premium already included in the current price appears full.

11. KEY RISKS

Downside Risks

- **Government Capex Slowdown:** ACE's revenue is highly correlated with government infrastructure spending. Any fiscal tightening, election-driven policy pause or state-level spending cuts could reduce order inflows. A 5% reduction in government capex could translate into a 7–9% revenue miss for ACE.
- **Commodity Price Inflation:** Steel accounts for 60–65% of ACE's total input costs. Any sharp rise in domestic steel prices (e.g., due to import duty changes or raw material shortages) would compress gross margins. A 10% steel price rise with no pass-through would reduce EBITDA by roughly ₹4,500–5,000 lakhs.
- **Working Capital Deterioration:** ACE's business involves long gestation projects, and receivables risk from government counterparties can be elevated. If debtor days increase significantly beyond 40–45 days it would strain cash flow and may require external financing.
- **Execution Risk in New Segments:** ACE's entry into forklifts, MEWPs, and exports introduces execution risks. These segments are more competitive and require different distribution, service infrastructure and customer relationships. Failure to scale these profitably could weigh on margins.
- **Valuation Risk:** The stock trades at 34.5x FY26E earnings. If earnings growth disappoints (e.g. PAT grows only 10% instead of 20%), even a minor re-rating from 34x to 25x P/E would imply a stock price of around ₹594 27% below the CMP.

Upside

- **Faster-Than-Expected Infrastructure Ramp-Up:** If the government accelerates NIP project awards beyond current plans, ACE's order book and revenue could surprise positively.
- **Margin Expansion Beyond Forecast:** If ACE successfully shifts product mix toward higher-margin cranes, exports, and after-sales service, margins could surprise on the upside.
- **Acquisition / Strategic Partnership:** A strategic partnership with a global OEM (similar to Escorts-Kubota) would significantly re-rate ACE's valuation.
- **Favourable Commodity Cycle:** A fall in steel prices would provide gross margin tailwinds beyond our model assumptions.

12. RECOMMENDATION & CONCLUSION

ACE is a fundamentally excellent business. Over the past seven to eight years it has grown revenues 3x, PAT 7x, turned nearly debt-free, expanded EBITDA margins from 8% to 15%, and returned 21% ROE at peak all while operating in a cyclical industry. Management has been disciplined, the brand is strong, and India's infrastructure tailwinds are real and durable.

The issue however is valuation. At ₹817, the stock is priced for perfection. Our DCF using a WACC of 14.96%, a terminal growth rate of 7% (one of the most generous assumptions we can justify), and an optimistic 14.85% revenue CAGR arrives at a fair value of ₹624.77 per share. The stock would need to derate by 23.5% to reach fair value.

Relative valuation provides some comfort. On EV/EBITDA and P/E, ACE looks broadly in line with peers (excluding TIL's outlier multiples). But this comfort is limited the peer set is small and not perfectly comparable, and broader market P/E expansion driven by sentiment should not be mistaken for fundamental value.

Also the **PEG ratio** of company is **0.7** which is less than 1 showing an undervaluation on the basis of expected EPS growth and earnings of company and the company command 63% market share in its crane main business there is very few domestic listed peer of company but they also not so much inclined toward crane so directly or indirectly company is dominating this field and that makes it a buy recommendation for growth at reasonable price investors but not for conservative or value investors

Recommendation

We recommend to SELL / REDUCE for existing holders and avoid for new initiations at the current **price**. Investors who believe in ACE's long-term story should consider building positions only if the stock corrects to the ₹625–₹680 range which would bring it to approximately fair value on a DCF basis and provide a margin of safety. At those levels, the risk-reward would be favourable for a 3–5 year holding period given the structural growth story.

FY26E is expected to be a year of consolidation for ACE both in earnings (PAT dips 11.6%) and free cash flow (turns negative due to working capital build). Investors should use any earnings-driven weakness to accumulate near fair value. Any re-rating catalyst such as a strategic partnership announcement, major export order win, or ahead-of-schedule margin recovery could revise the target upward.

**ACTION CONSTRUCTION EQUIPMENT (ACE) | SELL / REDUCE | TARGET ₹625–₹680 |
DOWNSIDE (23.5%) as per DCF valuation**

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